

start their businesses via WhatsApp,” says Aatrey.

Until about two years ago, over 60 per cent of Meesho's sales came from the women's fashion segment. That number is now less than 40 per cent because other categories such as home and kitchen utilities, beauty and personal care, and electronics accessories have also grown after the pandemic. “As trust built up, women started buying products for their kids, families and households, too. So, our goal is not to serve just a category. It is to become a single shop that consumers can come to and fulfil all their needs,” says the Meesho CEO.

But womenswear remains Meesho's bestselling category. In 2022, it sold 148 sarees a minute, with demand coming from across the country. What's interesting, however, is the growing number of male shoppers on the platform. “Men are showing a higher propensity than ever for grooming products, with more than 60 per cent of orders coming from Tier IV markets,” Meesho stated in its year-end wrap. Overall, 910 million orders were placed on Meesho during the year, which is a 135 per cent growth over 2021. It also onboarded 500,000-plus new sellers.

“Most of India shops in local markets for unbranded products. There is a joy associated with unorganised shopping. But traditional e-commerce is very search-driven. You come in, type something, see one or two options, you buy and exit. That's not how you shop in a local market. You spend time, browse, discover, negotiate, and that is what Meesho is trying to do,” says SoftBank's Misra.

THE CHALLENGES

So, what ails Meesho? A bunch of things. Besides its growing losses,

A SNAPSHOT OF MEESHO

It is one of the world's most downloaded shopping apps, with 70 per cent of its users coming from smaller towns

**CURRENT
EMPLOYEE COUNT**
1,980-2,000

TOTAL FUNDING RAISED
\$1.1 BILLION

LAST VALUATION
\$4.9 BILLION

KEY INVESTORS
PROSUS, SOFTBANK
VISION FUND, FACEBOOK,
FIDELITY INVESTMENTS, B
CAPITAL GROUP, SEQUOIA
CAPITAL, SHUNWEI
CAPITAL, RPS VENTURES,
DST PARTNERS, ELEVATION
CAPITAL, VENTURE HIGHWAY,
Y COMBINATOR

APP DOWNLOADS
300 MILLION

TOTAL GMV
\$5 BILLION

**AVERAGE
ORDER VALUE (AOV)**
₹300-400

**ANNUAL
TRANSACTIONING USERS**
140 MILLION

**REGISTERED
SELLERS**
825,000

**TOTAL
PRODUCT LISTINGS**
68 MILLION

**ORDERS
RECEIVED IN 2022**
910 MILLION

SOURCE TRACXN, ALLIANCEBERNSTEIN,
COMPANY FILINGS

high rate of returns, and a funding quiet, it also has to contend with a changing competitive landscape. Flipkart and Amazon have entered the value-shopping arena. Flipkart has floated Shopsy, which closed 2022 with 140 million app installs. Within a year of its launch, Shopsy's share of Flipkart's new customers is about 40 per cent. “Over 70 per cent of our new customers come from Tier II and III markets. At Shopsy, we have consistently focussed on providing value-based products to consumers, with over 75 per cent of products under various categories costing ₹300 and below,” says Adarsh Menon, SVP & Head-New Businesses at Flipkart.

That is taking the competition straight to Meesho. Then there's Amazon, which acquired social commerce firm GlowRoad last year, to penetrate deeper into small-town India. The reseller-based platform also introduced a ‘zero-commission’ policy for sellers, which is helping them bring more of their selections online without worrying about listing fees. “Today, more than 85 per cent of new customers and 65 per cent of total orders on Amazon.in come from customers in Tier II and below [towns]. Our total seller base on Amazon.in (one million-plus) has almost doubled since January 2020 and more than 50 per cent of sellers come from Tier II and below towns,” Kishore Thota, Director-Customer Experience and Marketing, Amazon India, tells *BT* over email.

Hence, it's evident that the next phase of competition in the e-commerce space is in the small towns. Aatrey, however, is undeterred. “We don't think of them as competition because we play in very different segments. Close to 60 per cent of what is sold on Shopsy is electronics. Our assortment is very different and that determines the kind of customers we get,” he explains.